

Applied Materials, Inc. (AMAT.US)

Technology · Semiconductor Equipment & Materials  
Large Cap (>\$200B) · Report Date: June 27, 2026  
Latest financials: Q4 FY2025 · Model data as of 2026-06-27

OVERWEIGHT

Blended Target: \$694.17

DCF + Comps + Analyst (see cross-check table)

Implied upside: +10.7%

Price (Jun): \$626.84

INVESTMENT HIGHLIGHTS

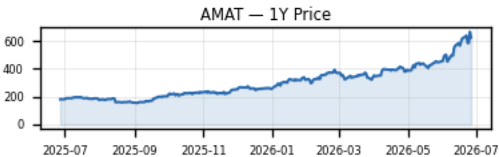
- **OVERWEIGHT** — blended target \$694.17 (+10.7% vs \$626.84); Comps 80% + Analyst 20% valuation after outlier checks.
- Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Applied Materials, Inc. (AMAT) — Technology. Applied Materials, Inc. provides materials engineering solutions, equipment, services, and software to the semiconductor and related industries in the... **OVERWEIGHT** rating; blended target \$694.17. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

| Item          | Value               | Item         | Value      |
|---------------|---------------------|--------------|------------|
| Market Cap    | \$497.69B           | Shares Out.  | 794.0M     |
| 52-Week Range | \$154.47 – \$669.22 | P/E (TTM)    | 58.8x      |
| P/B           | 20.8x               | Beta         | 1.67       |
| Avg Volume    | 8.26M               | Analyst Rec. | Strong_Buy |
| Revenue (TTM) | \$29.02B            | Rev Growth   | +11.4%     |
| Op. Margin    | 31.9%               | FCF (TTM)    | \$5.70B    |



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

| Metric                  | FY 2024A | FY 2025A | FY 2026E | FY 2027E | FY 2028E |
|-------------------------|----------|----------|----------|----------|----------|
| Revenue (\$M)           | 27,176   | 28,368   | 31,602   | 34,361   | 36,718   |
| Revenue Growth (%)      | N/A      | 4.4%     | 11.4%    | 8.7%     | 6.9%     |
| Net Income (\$M)        | 7,177    | 6,998    | 7,796    | 8,476    | 9,058    |
| Net Income Growth (%)   | N/A      | -2.5%    | 11.4%    | 8.7%     | 6.9%     |
| Gross Margin (%)        | 47.5%    | 48.7%    | 49.0%    | 49.0%    | 49.0%    |
| Net Margin (%)          | 26.4%    | 24.7%    | 24.7%    | 24.7%    | 24.7%    |
| ROE (%)                 | 37.8%    | 34.3%    | 38.2%    | 37.7%    | 38.3%    |
| EPS (\$)                | 9.04     | 8.81     | 9.82     | 10.68    | 11.41    |
| Book Value / Share (\$) | 23.93    | 25.71    | 25.71    | 28.35    | 29.77    |
| P/E (x)                 | 69.34    | 71.12    | 63.84    | 58.71    | 54.94    |
| P/B (x)                 | 26.19    | 24.38    | 24.38    | 22.11    | 21.06    |
| Dividend Yield (%)      | 34.0%    | 34.0%    | 34.0%    | 34.0%    | 34.0%    |

VALUATION CROSS-CHECK

| Valuation Method                              | Implied Price | vs. Current | Weight in Target | Notes                                                             |
|-----------------------------------------------|---------------|-------------|------------------|-------------------------------------------------------------------|
| DCF (Simon FCFE)                              | \$117.08      | -81.3%      | 0% (excluded)    | DCF implied price < 35% of market (capex-heavy or distorted FCFE) |
| Profile template weights                      | —             | —           | —                | Standard operating company: DCF 32%, Comps 53%, Analyst 15%       |
| Comps — P/E (peer median, trailing EPS)       | \$814.12      | +29.9%      | —                | Peer median P/E 76.4x                                             |
| Comps — P/E (peer median, forward EPS)        | \$1244.59     | +98.6%      | —                | Forward EPS × peer median P/E                                     |
| Comps — 52-week range anchor                  | \$483.51      | -22.9%      | —                | Tri-mean of 52w high, low, and current (large cap)                |
| Comps — EV/EBITDA (peer median)               | \$719.26      | +14.7%      | —                | Peer median 57.2x                                                 |
| Comps — P/S (peer median)                     | \$729.74      | +16.4%      | —                | Peer median P/S 20.0x                                             |
| Comps — Blended (avg. of available multiples) | \$729.74      | +16.4%      | 80%              | Included in blend                                                 |
| Analyst consensus (Yahoo Finance)             | \$551.91      | -12.0%      | 20%              | Included in blend                                                 |
| Blended target (weighted)                     | \$694.17      | +10.7%      | 100%             | Comps 80% + Analyst 20%                                           |
| Audit (≥30% vs price)                         | —             | —           | —                | Triggered ( upside  ≥ 30%)                                        |

DCF VALUATION SUMMARY (SIMON FCFE)

| Item                | Value    |
|---------------------|----------|
| Ke (cost of equity) | 13.20%   |
| Terminal g          | 4.00%    |
| FCFE growth         | 11.61%   |
| Base FCFE           | \$5.70B  |
| PV explicit (5Y)    | \$29.06B |
| PV terminal         | \$63.90B |
| Equity value (adj.) | \$92.96B |
| Implied price       | \$117.08 |
| vs. current         | -81.3%   |

INDUSTRY ANALYSIS

1. Industry Overview

Applied Materials, Inc. provides materials engineering solutions, equipment, services, and software to the semiconductor and related industries in the United States, China, Korea, Taiwan, Japan, Southeast Asia, Europe, and internationally. The company operates through Semiconductor Systems and Applied Global Services (AGS) segments. The Semiconductor Systems segment includes semiconductor...

2. Key Trends

- Moderate revenue expansion (11.4% YoY)
- High operating leverage (31.9% margin)
- Above-market volatility (β=1.67)
- Sector: Technology | Industry: Semiconductor Equipment & Materials

3. Risk Factors

- Premium valuation (P/E: 58.8x)
- High market sensitivity in downturns

COMPETITOR ANALYSIS

| Ticker | Company                | Market Cap | P/E   | EV/EBITDA | Net Margin | Rev Growth |
|--------|------------------------|------------|-------|-----------|------------|------------|
| LRCX   | Lam Research Corporati | \$474.08B  | 71.4x | 60.3x     | 30.9%      | +23.8%     |
| KLAC   | KLA Corporation        | \$324.79B  | 70.4x | 55.7x     | 35.7%      | +11.5%     |
| TER    | Teradyne, Inc.         | \$68.39B   | 81.4x | 58.7x     | 22.6%      | +87.0%     |
| ENTG   | Entegris, Inc.         | \$24.59B   | 93.3x | 31.7x     | 8.2%       | +5.0%      |
| AMAT*  | Applied Materials, Inc | \$497.69B  | 58.8x | 53.6x     | 29.3%      | +11.4%     |

\* Subject company. Trades at a discount on p/e vs peers. Strong revenue growth; high operating margins; conservative balance sheet; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.